SOLVAI COMPREHENSIVE INTELLIGENCE DOSSIER

Prepared for: **SolvAI**

Report ID: b14039da-5f09-4a64-9046-c8eed03af4c9

Date Generated: 2024-07-29

1. Executive Summary

Overall Solvency Score	AI Recommendation
45	**REJECT**

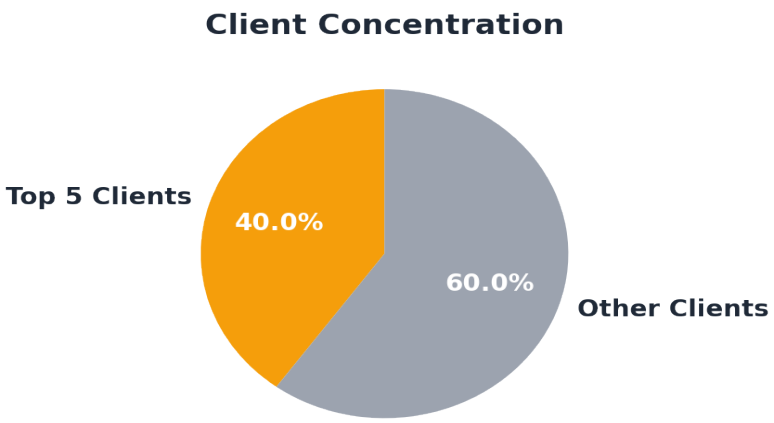
Recommendation Justification

The 'Distress Zone' classification, combined with significant revenue volatility and recurring periods where monthly revenue falls below operating expenses, indicates a high and unacceptable level of solvency risk. While the company exhibits strong operational qualities such as an excellent dispute rate and reliable data integrity, these positive factors do not sufficiently mitigate the fundamental financial instability highlighted by the quantitative solvency metrics and the inconsistent revenue performance. The business's ability to consistently meet its financial obligations, particularly during its low seasons, is highly questionable.

Assessment Summary

The company demonstrates significant revenue volatility with pronounced seasonal dips, which frequently result in monthly revenue falling below operating expenses. While the average monthly revenue provides a seemingly healthy buffer, the 'Distress Zone' classification from quantitative metrics and the observed recurring revenue troughs indicate a high risk of liquidity issues and potential insolvency, making the business's financial stability questionable.

2. Financial Overview & Analysis



Quantitative Metrics Breakdown

Metric	Value
Solvency Zone	Distress Zone
Benford Analysis	Normal
Modified Z Score	0.0
Fraud Probability Score	0.5

3. Detailed Findings & Telemetry

Risk Assessment & Findings

Key Findings

Impact	Finding	Category

On average, revenue covers operating expenses. However, this average masks significant volatility.	Average monthly revenue over 24 months is 14,500 EUR. Total monthly operating expenses are calculated at 8,700.5 EUR (SaaS_and_Software: 1200.5, Payroll_and_Contractors: 4500.0, Marketing_and_Ads: 2300.0, Office_and_Admin: 400.0, Legal_and_Accounting: 300.0). This yields an average revenue-to-expense ratio of 1.66x.	Revenue & Profitability
High risk of recurring cash flow deficits during low seasons, directly contributing to financial instability and the 'Distress Zone' classification.	The monthly revenue series shows substantial fluctuations, ranging from a low of 5,085.12 EUR (2026-02) to a high of 29,383.76 EUR (2025-12). Notably, revenue fell below the 8,700.5 EUR operating expenses in 6 out of 24 months (e.g., 2025-01, 2025-02, 2025-03, 2026-01, 2026-02, 2026-03).	Revenue Volatility & Seasonality
Concentration risk is partially mitigated by good retention among key clients, but remains a factor.	Moderate client concentration, with the top client accounting for 15.0% and the top 5 clients for 40.0% of revenue. However, there is a strong 85% YoY retention rate for the top 5 clients.	Client Concentration & Retention
Excellent, indicating high service quality and customer satisfaction, which is a positive operational indicator.	An extremely low dispute rate of 0.23% (2 disputed transactions out of 850 total transactions).	Dispute History
High confidence in the reliability and completeness of the financial data provided.	Data is sourced from 2 connected platforms (STRIPE, BANK_API) over a 24-month period. Benford analysis is reported as 'Normal'.	Data Integrity & Connectivity
This is a critical red flag, indicating a high probability of financial distress or potential insolvency. The Z-score of 0.0 typically places a company in a 'grey zone' or 'distress zone' depending on the specific model, reinforcing the solvency concern.	The Modified Z-score is 0.0, and the company is classified in the 'Distress Zone'.	Quantitative Solvency Metrics
Neutral, suggesting no strong indicators of fraud were detected, but also not a strong positive.	A fraud probability score of 0.5.	Fraud Risk

Overall Status: High Risk - Distress Zone

Currency: EUR

Analysis Period Months: 24

Appendix: Mathematical Methodology

1. Benford's Law (First-Digit Law)

SolvAI applies Benford's Law to transaction amounts to detect anomalous numerical distributions. In naturally occurring datasets, the leading digit '1' appears ~30% of the time, while '9' appears less than 5%. Significant deviations from this logarithmic distribution curve raise the Fraud Probability Score.

2. Altman Z-Score (Modified for Freelancers/SMEs)

The standard Altman Z-Score predicts the probability of bankruptcy within two years. SolvAI uses a modified variant tailored for service-based entities, heavily weighting Working Capital to Total Assets and EBIT to Total Assets. A score below 1.8 indicates the 'Distress Zone', signaling high insolvency risk.

3. Fraud Probability Score (MoE Anomaly Detection)

The SolvAI Mixture-of-Experts (MoE) engine calculates a composite fraud probability score (0.0 to 1.0). This metric fuses data points including Stripe dispute velocity, IP geographic mismatch (if applicable), high-frequency micro-transactions, and Benford deviation coefficients. A score > 0.7 triggers a mandatory 'Reject' recommendation regardless of revenue volume.

4. Seasonality & Volatility Penalty

Entities displaying high variance in monthly revenue (e.g., standard deviation > 40% of the mean) are subjected to a Volatility Penalty. This mathematically ensures that highly seasonal businesses maintain sufficient cash reserves to cover fixed operating expenses during anticipated revenue troughs.